Unit 3 - Supply and Market Equilibrium

- Introduction to Supply and Market Equilibrium
  - Overview of Demand and Supply
    - Understanding demand and its determinants is crucial for firms.
    - Supply analysis focuses on producers' behaviors and decision-making.
    - The concepts of demand and supply are interconnected and essential for pricing strategies.
- Supply and Law of Supply
  - Definition of Supply
    - Supply refers to the quantities that producers are willing to sell at various prices over a specific time.
    - It is different from stock, which is the total volume that can be sold at short notice.
  - Characteristics of Supply
    - Supply is a flow variable and must reference a specific price.
    - Supply can be equal to, more than, or less than current production based on various factors.
  - Definitions of Supply
    - Thomas: Quantity offered for sale at a given time and price.
    - McConnell: Schedule showing various amounts a producer is willing to sell at different prices over a period.
  - Individual vs. Market Supply
    - Individual Supply: Quantity one producer is willing to sell.
    - Market Supply: Total quantity all producers are willing to sell at a specific price.
  - Determinants of Supply
    - Natural factors, production techniques, costs of production, prices of related goods, government policy, market structure, number of sellers, discovery of inputs, transport improvements, expectations of future prices, and producer agreements impact supply.
  - Supply Function
    - The relationship can be mathematically expressed as S = f(P) and includes multiple determinants.
  - Law of Supply
    - States that quantity supplied rises with price and falls with price, under constant conditions.
  - Supply Schedule
    - Tabular representation of various quantities supplied at varying prices.
    - Individual and Market Supply Schedules are introduced.
  - Supply Curve
    - Geometrical representation showing the direct relationship between price and quantity supplied.
    - Individual and Market Supply Curves explained.
  - Reasons for Positive Slope of Supply Curve
    - Profit incentives, increasing marginal costs, and shifts among producers impact supply positively.
  - Time Period and Supply
    - Market period, short run, and long run defined and their impacts on supply explained.
- Exceptions to the Law of Supply
  - Discusses vertical or fixed supply curves and backward-sloping supply curves.
  - Explores scenarios in which supply may increase at lower prices or decrease at higher prices.
- Changes or Shifts in Supply
  - Explains the concepts of expansion and contraction in supply due to price changes.
  - Discusses increases and decreases in supply due to non-price factors.
- Elasticity of Supply
  - Definition and Importance
    - Measures responsiveness of quantity supplied to price changes.
  - Types of Elasticity of Supply
    - Perfectly elastic, perfectly inelastic, elastic, relatively inelastic, and unitary elastic supply defined with graphs.
  - Factors Determining Elasticity of Supply
    - Time periods, availability of factors, technological improvements, costs, market types, political conditions, number of sellers, prices of related goods, and firm goals.
- Practical Importance of Elasticity of Supply
  - Implications for taxation policy, price determination, and economic stability.
- Market Equilibrium and Changes
  - Definition and Importance of Market Equilibrium
    - Concept derived from balancing supply and demand forces.
  - Types of Equilibrium Approaches
    - Partial and general equilibrium approaches.
  - Price Equilibrium and Interrelationship
    - Discusses equilibrium price, quantity, and the dynamics between supply and demand curves.
  - Effects of Shifts in Demand and Supply
    - Explains how shifts in demand or supply change equilibrium price and quantity.
- Consumer Surplus and Producer Surplus
  - Definitions and Concepts
    - Consumer surplus represents excess satisfaction.
    - Producer surplus denotes excess income beyond the minimum acceptable price.
  - Graphical Representation of Surpluses
    - Illustrates the relationships and differences between consumer and producer surpluses.
- Summary
  - Recap of the key concepts surrounding supply, its determinants, elasticity, market equilibrium, and surpluses.